

TURKEY 2006

1. Overview of the tax-benefit system

Workers who are employed by one or more employers on a contract basis are insured under the Social Insurance Act No.506. Insurance contributions are collected to meet the benefit payments under the insurance branches of work accidents and occupational diseases, sickness, maternity, invalidity, old-age and survivors as well as the administrative expenses incurred for running these insurance branches.

The rates of contribution paid by the employers and insured persons are shown on the table below:

Branches of Insurance	Share of Insured People	Share of Employers	The Total Rate of Contribution
Work accidents and Occupational Diseases	-	1,5 - 7	1,5 - 7
Maternity	-	1	1
Sickness	5	6	11
Invalidity, Old-age and Survivors	9	11	20
Total	14	19,5 - 25	33,5 - 39

The rate of contribution for the insurance of work accidents and occupational diseases varies between 1.5% - 7% depending on the category and degree of the risk that the workers exposed in a given workplace. Branches of the work have been divided into 12 hazard categories for the purpose of determining contribution rates for work accidents and occupational diseases. Then the rate of contribution for each category has been determined starting from the minimum level of 1.5% with an increase of 0.5 % at each hazard level up to the maximum level of 7%.

The minimum limit of the daily earnings to be taken as a basis for the calculation of the contributions to be collected and the allowances to be provided is determined as the daily minimum wage for workers older than 16 years of age which is fixed in accordance with the provisions of Article 39 of the Labour Act No.4857. The upper limit is 6.5 times higher than the daily minimum wage.

Contribution rate of the unemployment insurance is 4% of the gross monthly earnings. Employer's share is 2%, insured person's share is 1% and State's share is 1% of the gross monthly earnings of the insured. Unemployment benefits are not subject to any taxes or deductions other than stamp tax whose percentage rate is 0.6.

1.1. Average production worker wage (APW)

The average Production Worker in Turkey in 2006 was 15645 YTL.

2. Unemployment insurance

The unemployment insurance act was enacted in 1999 and was put into effect as of June 2000. Purpose of the said Act is to regulate rules and principles of the application of the unemployment insurance and to ensure that payments and services envisaged in the Act are provided to the insured persons in the event that such persons become unemployed.

2.1. Conditions of receipt

2.1.1. Employment conditions

Insured person has to work as insured at least for 600 days and pay unemployment insurance premiums within the last three years and has to work continuously and pay premiums for the last 120 days prior to leaving the job.

2.1.2. Contribution conditions

Unemployment Insurance operates on a compulsory basis. Those insured under the said act whose contracts of employment have been terminated are entitled to receive unemployment benefit provided that (i) they apply to the Agency in person to register, declaring that they are ready to work, (ii) they have worked as insured at least for 600 days and paid unemployment insurance premiums within the last three years, and (iii) they have continuously worked and paid premiums for the last 120 days prior to leaving the job.

Unemployment benefits are withheld for the following reasons while receiving unemployment benefit, if the beneficiary:

- a) Unreasonable refuses a job offered by the Agency, which is similar to his/her last job in terms of salary and working conditions, and located within the borders of the place of residence.
- b) Is found to be in paid employment or receiving pension from any social security institution.
- c) Unreasonably refuses or fails to attend courses for the vocational development, acquirement and education proposed by the Agency;
- d) Fails to respond to the calls by the Agency or fails to submit required information and documentation in due time without a reasonable excuse.

However, should the situation causing ending of benefits under subparagraphs (c) and (d) disappear, unemployment benefit is restarted, in such a way that duration of such payment may not go beyond the end of the total entitlement period as determined at the beginning.

2.2. Calculation of benefit amount

2.2.1. Calculation of gross benefit

- Daily unemployment benefit is 50 percent net earnings of insured, being calculated by taking into account the earnings of the last four months that constitute basis for premium.
- Unemployment benefits are paid to the unemployed worker in person on monthly basis at the end of each month.
- According to the above- mentioned Act, unemployment insurance benefit can not exceed the net amount of minimum wage.
- As of 2006 maximum unemployment insurance benefit was 380,46 New Turkish Liras and minimum unemployment insurance benefit was 190,23 New Turkish Liras.

2.3. Tax treatment of benefit and interaction with other benefits

Unemployment benefits are not subject to any taxes or deductions other than stamp tax. Except old-age insurance, receiving insurance payments from any social security institution do

not interrupt the unemployment insurance payment. Those who receive incapacity insurance payment are precluded from doing so, but when they stop receiving that they are started being paid again.

2.4. Benefit Duration

Workers who have continuously paid premiums for the 120 days preceding the termination of employment contracts and fulfil the following requirements are paid the unemployment insurance payment during the corresponding periods, when:

- a) insured unemployed persons who have worked and paid unemployment premiums for 600 days within the last three years; for the period of 180 days,
- b) insured unemployed persons who have worked and paid unemployment premiums for 900 days within the last three years; for the period of 240 days,
- c) insured unemployed persons who have worked and paid unemployment premiums for 1080 days within the last three years; for the period of 300 days,

3. Unemployment assistance

Not applicable.

4. Social Assistance

4.5. Treatment of particular group

Benefits for the development and education of the mentally, physically, psychologically and emotionally disabled children of the insured or of the pensioners as well as for the children who receive benefit or pension from Institution are provided by the Institution based on the principles and amounts mentioned in Budget Implementation Directions in accordance with the Supplementary Article 37 of the Social Insurance Act No.506

5. Housing benefits

5.1 Conditions for receipt

5.2 Calculation of benefit amount

5.2.1. Calculation of gross benefit

5.2.2. Income and earnings disregards

5.3 Tax treatment of benefit and interaction with other benefits

5.4 Treatment of particular groups

5.4.1. Young persons

5.4.2. Older workers

5.4.3. Others if applicable

6. Family benefits

6.1 Conditions for receipt

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

6.2.2 Income and earnings disregards

6.3 Tax treatment of benefit and interaction with other benefits

6.4 *Treatment of particular groups*

6.4.1 Young persons

6.4.2 Older workers

6.4.3 Others if applicable

7. **Childcare for pre-school children**

7.1 Out-of-pocket childcare fees paid by parents

7.2 *Childcare benefits*

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregard

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

8. **Employment –conditional benefits**

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 Calculation of gross benefit

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular groups*

8.5.1 Young persons

8.5.2 Older workers

8.5.3 Others if applicable

9. **Lone –parent benefits**

Conditions for receipt

9.2 *Calculation of benefit amount*

9.2.1 Calculation of gross benefit

9.2.2 Income and earnings disregards

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular groups*

9.5.1 Young persons

- 9.5.2 Older workers
- 9.5.3 Others if applicable

10. Tax System

10.1 Central government income tax

Tax unit

Spouses are taxed separately on earned income. This applies since 1 January 1999.

Tax allowances and tax credits

Income tax is levied on the real net value of wage and salary. The real net value of wage and salary is calculated by making the following deductions from the total cash payments made and fringe benefits given by the employer:

- Legal deductions for public institutions such as OYAK (Social Aid Institution for Military Officers)
- Contributions to the public pension funds established by law.
- Contributions to the private pension funds and premiums paid by the wage-earner for himself (or herself) and his (or her) spouse and dependant children for personal insurance schemes covering, death, illness, accident, disablement, maternity, birth and education, provided that the insurance is contracted with a company established in or with a main office in Turkey. The total amount of deductible contributions to the private pension funds can not exceed 10 per cent (for premiums that are paid for personal insurance schemes, it can not exceed 5 per cent) of the wage in the month which premiums or contributions are paid. Also annual amount cannot exceed the annual amount of minimum wage.
- Membership due made to the labour unions.

After calculating the real net value of the wage and salary, the deductions mentioned below are made to obtain taxable income.

Standard reliefs:

- Reliefs for disabled: By the law 4842, relief for disable person is regulated again.

The employee who lost his/her working capacity at minimum 80 per cent is regarded as 1st degree disabled, minimum 60 per cent is 2nd degree disabled, minimum 40 per cent is 3rd degree disabled worker. Based on these degrees, following amounts are deducted from their monthly wages.

- For the 1st degree 530 YTL
- For the 2nd degree 265 YTL
- For the 3rd degree 133 YTL

- Reliefs for social security contributions: Employees' social security contributions are deductible from gross earnings. This contribution is 15 per cent of gross income as stated by the social insurance act. The contribution to the unemployment fund is included in this amount and amounts to 1 per cent of the gross income. It is applied after 01.06.2000.
- Work-related expenses: None.

Main non-standard tax reliefs applicable to an APW:

Special Tax Credit for Wage and Salary Earners: Special tax credit system was amended by the law 4842 in 2004. In the new system, some proportion of the annual amount of specific expenditures of the taxpayer, his/her spouse and his/her children, which is calculated according to the following rates and thresholds, is credited from the next years' personal income tax or it is refunded by the employer.

The rates and thresholds are as follows:

Value of specified expenditures	Tax credit rate
0 to YTL 3 600	8 per cent
3 600 to 7 200 YTL	6 per cent
Over 7 200 YTL	4 per cent

Tax schedule

The tax schedule in 2006 was as follows:

Taxable income (YTL)	Tax on lower threshold (YTL)	Tax on excess amount above lower threshold (%)
Up to 7 000		15
7 000 up to 18 000	1 050	20
18 000 up to 40 000	3 250	27
40 000 and over	9 190	35

Stamp tax

The stamp tax base is gross earnings. The tax rate is 0.006 per cent for the year 2006.

10.2. Social security contribution schedule

Employees' contributions

Pensions (disability, old age and death insurance) 9 per cent

Sickness: 5 per cent

Unemployment: 1 per cent

Employers' contributions

They are set at 21.5 percent and include pensions: 11 percent,

Sickness: 6 percent,
Unemployment: 2 per cent,
Work injury: For the purposes of this report, the lowest rate used is 1.5 per cent,
Maternity insurance: 1.0 per cent.

There is no distinction by marital status or sex and the contributions apply to gross earnings. Compulsory social security contributions of employees and their employers are calculated according to the above mentioned schemes.

For employees whose gross earnings are below the base or above ceiling earnings, which are determined at least twice a year, these contribution rates are applied to the base or ceiling amounts respectively. The ceiling amount to YTL 41418, and the base amount to YTL 6372 for the year 2006. According to the social security Law amended with the Law numbered 5198, the base wage for social security contributions was equalized to the minimum wage since 1.7.2004. For the period of 1.1.2004-30.6.2004, social security contributions (employer and employee shares, unemployment security premium) that may stem from the difference between the minimum wage and base wage was paid by the Treasury. Since the amount of APW we are using in this report is higher than the base and lower than the ceiling APW is taken into consideration within the calculations.

Death, confinement and marriage allowances, travel allowance, severance pay , pay for notice period, cash register indemnities and allowances in kind paid by the employer to the insured person in accordance with the employment contract as well as child and family allowances determined annually by the Ministry Labour and Social Security are not taken into consideration when calculating monthly amount of insurable earnings for contributions.

10.3. Treatment of particular group

10.3.1 Social security contribution schedule

Bağ-Kur has been covering the social security of tradesmen, craftsmen and self-employed people in compliance with the Act No. 1479; the self-employed farmers according to the Act No. 2926; and finally the head of districts as well as villages in compliance with the Act No.2108

Furthermore;

- Housewives,
- Foreign nationalities residing in Turkey,
- The persons who are not covered by any social security institution,
- The non-working persons who stay aboard with their Turkish spouses,
- The persons who lost their compulsory insurance status under Bağ-Kur,

may be covered under the voluntary insurance system.

Bağ-Kur pays old-age, invalidity and survivors' pensions and health benefits to those insured persons under the coverage of the provisions of Act No. 1479 and 2926. In the event of not being entitled to pension payment, the contributions accrued are paid to the insured or their survivors as lump-sum payments.

For the goal of increasing the efficiency of social security institutions (SSK, Bağ-Kur, Emekli Sandığı), The Social Security Institution is established by the Law numbered 5502 and all social security institutions are unified under The Social Security Institution. It is foreseen that this law would be applied after the second half of 2007.

Contributions under the Act No. 1479:

In order to cover the benefit payments and all sorts of administrative expenses, contributions are collected by the Institution in accordance with the provisions of the said Act. Administrative expenses cannot exceed 10% of the general annual expenses of the Institution.

According to the said Act, the amount of contribution corresponds to the 20% of income scale raised, adjusted or chosen by the insured person. Commencement deduction is collected only once by the Institution at the level of 25% of the notified income on the date of Commencement of the insured status. In the event of income scale increases, the contribution amount corresponding to the difference between the two income scales is charged. The contribution amount is charged monthly by calculating as from the beginning of the month following the date on which the insured status started until the end of month in which the insured status ended (Ann.1).

All these deductions and contributions may be declared as expenses for the purposes of tax calculations, provided that the contributions due have been paid during the corresponding tax year.

Contributions under the Act No. 2926:

Under the Act, the amount of contribution for invalidity, old-age and survivors insurance corresponds to the 20 % of income scale adjusted or chosen by the insured person. The contribution amount is computed by multiplying the coefficient of the income scale of the insured person by the index determined in accordance with the Act (Ann. 2).

Contributions for the Health Insurance:

The contributions are collected by the Institution in accordance with the provisions of the Act No.1479 at a proportion of 20 % of the 8th scale from the insured persons within the first 8 scale and at a proportion of 20 % of the applicable scale in and over 9 th scale (Ann.1).

The contributions are collected by the Institution in accordance with the provisions of the Act No. 2926 on the basis of 20 % of the sixth income scale from the insured persons within the first 6 scale and 20 % of the applicable scale in and over 7 th scale (Ann.2).

10.3.2. Older Workers

In cases where a pensioner starts working as an insured person while drawing an old-age pension, the payment of pensions may continue. However, a Social Security Support Contribution is deducted from their earnings at a rate of 30 %. One fourth of the contribution is paid by the person insured and three-fourths by the employer.

If the pensioner was paid 531.00 YTL by an employer, the amount of contribution payable would be;

		Amount Payable
Gross Income	531.00	-
Insured Person's share	$\frac{1}{4}$	39.83
Employer's share	$\frac{3}{4}$	119.48
Total	$\frac{4}{4}$	159.30

11. Part-time work

11.1 Special benefit rules for part-time work

Days are taken as a basis for social security contributions taking into account the number of hours worked. The “insured status” starts from the day on which the employee starts working under an employment contract. Each 7.5 hours of working period is considered as one day working time. In determining the contribution amount, the maximum and minimum limits of the insurable daily earnings are also taken into consideration.

11.2 Special tax and social security contribution rules for part-time work

Each 7.5 hours of working period under a part-time employment contract is considered as one day working time and the minimum amount of daily wage determined for the persons older than 16 years of age is considered as the minimum amount of earnings that can be declared for insurance calculations.

12. Policy development

12.1 Policy changes introduced during the previous year

12.2 Policy changes announced

ANNEX 1-The contribution table for the insured persons subject to the Social Insurance for the institution of tradesmen, craftsmen and self-employed Act No. 1479 (01.01.2006 - 31.12.2006)

Scales	Amount of income	Contributions per month	Contributions for Health Insurance (20 %)	Total Contributions	Commencement Deductions	The difference for the Raising of Scale	
1	353.36	70.67	104.23	174.90	88.34		-
2	376.05	75.21	104.23	179.44	94.01	From 1 to 2	22.69
3	398.72	79.74	104.23	183.97	99.68	From 2 to 3	22.67
4	421.40	84.28	104.23	188.51	105.35	From 3 to 4	22.68
5	444.07	88.81	104.23	193.04	111.01	From 4 to 5	22.67
6	469.77	93.95	104.23	198.18	117.44	From 5 to 6	25.70
7	495.47	99.09	104.23	203.32	123.86	From 6 to 7	25.70
8	521.17	104.23	104.23	208.46	130.29	From 7 to 8	25.70
9	546.87	109.37	109.37	218.74	136.71	From 8 to 9	25.70
10	572.56	114.51	114.51	229.02	143.14	From 9 to 10	25.69
11	598.27	119.65	119.65	239.30	149.56	From 10 to 11	25.71
12	623.97	124.79	124.79	249.58	155.99	From 11 to 12	25.70
13	715.05	143.01	143.01	286.02	178.76	From 12 to 13	91.08
14	798.20	159.64	159.64	319.28	199.55	From 13 to 14	83.15
15	881.34	176.27	176.27	352.54	220.33	From 14 to 15	83.14
16	964.49	192.90	192.90	385.80	241.12	From 15 to 16	83.15
17	1,047.64	209.53	209.53	419.06	261.91	From 16 to 17	83.15
18	1,130.77	226.15	226.15	452.30	282.69	From 17 to 18	83.13
19	1,213.92	242.78	242.78	485.56	303.48	From 18 to 19	83.15
20	1,297.06	259.41	259.41	518.82	324.26	From 19 to 20	83.14
21	1,380.21	276.04	276.04	552.08	345.05	From 20 to 21	83.15
22	1,463.35	292.67	292.67	585.34	365.83	From 21 to 22	83.14
23	1,546.50	309.30	309.30	618.60	386.62	From 22 to 23	83.15
24	1,629.65	325.93	325.93	651.86	407.41	From 23 to 24	83.15

ANNEX 2 - The contribution table for the insured persons subject to the Social Insurance (Agricultural Self Employed) Act No. 2926 for the

farmers living in rural areas and for self-employed farmers having the status
of temporary agricultural workers (01.01.2006 - 31.12.2006)

Scales	Indicator	Contributions per mounth (%20)	Contributions for Health Insurance	Total Contributions
1	141.69	28.34	47.53	75.87
2	160.86	32.17	47.53	79.70
3	180.07	36.01	47.53	83.54
4	199.21	39.84	47.53	87.37
5	218.42	43.68	47.53	91.21
6	237.63	47.53	47.53	95.06
7	256.8	51.36	51.36	102.72
8	276.01	55.20	55.20	110.40
9	295.15	59.03	59.03	118.06
10	314.35	62.87	62.87	125.74
11	333.53	66.71	66.71	133.42
12	352.74	70.55	70.55	141.10
13	390.6	78.12	78.12	156.24
14	427.48	85.5	85.50	171.00
15	464.38	92.88	92.88	185.76
16	501.29	100.26	100.26	200.52
17	538.16	107.63	107.63	215.26
18	575.07	115.01	115.01	230.02
19	611.94	122.39	122.39	244.78
20	648.85	129.77	129.77	259.54
21	685.75	137.15	137.15	274.30
22	722.63	144.53	144.53	289.06
23	759.53	151.91	151.91	303.82
24	796.44	159.29	159.29	318.58